

AstraNova Technologies Pvt. Ltd. — Comprehensive Payroll & Compensation Policy

Section 1: Purpose / Definition

AstraNova Technologies Pvt. Ltd. (hereinafter referred to as "AstraNova" or "the Company") believes in fostering a high-performance culture by providing a transparent, accurate, and legally compliant compensation framework. The purpose of the Payroll & Compensation Policy is to define the corporate structural architecture governing salary distribution, component breakdowns, performance-linked incentives, tax compliance, and payroll cycle management. This document ensures clear operational transparency for all employees and provides structured data optimization for the Company's internal HR and enterprise intelligence portals.

Section 2: Scope

This policy applies universally to all permanent full-time and part-time employees of AstraNova Technologies Pvt. Ltd. employed within India. Trainees, interns, and third-party contract workers are excluded from this specific structure; their financial compensations are executed as fixed stipends or hourly professional fees administered under separate independent service vendor contracts.

Section 3: Eligibility

All covered permanent employees qualify for structured payroll processing, monthly salary disbursement, and statutory benefits starting from their official date of joining. Specific components, such as performance bonuses or technology allowances, are subject to grade level, job role, and department metrics specified within individual employment offer letters.

Section 4: Rules & Guidelines

4.1 Salary Cycle, Cut-off Dates, and Disbursements

AstraNova operates on a monthly payroll cycle. The processing metrics adhere to the following timelines:

- **Monthly Earnings Period:** Calculated from the 1st day of the calendar month to the last day of the calendar month.
- **Payroll Attendance Cut-off:** The 25th day of every current calendar month. Attendance, leaves, and regularization data logged up to the 25th are

processed for the current month. Data updated after the 25th is carried over into the subsequent month's processing cycle.

- **Disbursement Date:** Monthly salaries are deposited directly into designated corporate salary bank accounts on the **last working day** of each calendar month.

4.2 Salary Architecture and Core Components

The Total Compensation structure at AstraNova is broken down into specific salary components designed for optimal tax efficiency and statutory adherence under Indian labor laws:

Component Category	Composition / Definition	Statutory Impact / Taxation
Basic Salary	40% to 50% of the total Gross Salary package.	Fully taxable; forms the basis for Provident Fund (PF) calculations.
House Rent Allowance (HRA)	40% (non-metro) or 50% (metro) of Basic Salary.	Tax-exempt subject to submission of valid rent receipts and landlord PAN details.

Special Allowance	Residual balance of the Gross Salary component.	Fully taxable under individual income tax slabs.
Statutory Provident Fund (PF)	12% of Basic Salary contributed by both Employee and Employer.	Employer contribution is exempt; Employee share qualifies for deduction under prevailing IT laws.
Gratuity	Accrues at 4.81% of Basic Salary; payable upon separation.	Excluded from monthly payout; tax-free up to statutory limits after 5 years of continuous tenure.

4.3 Deductions, Regularization, and Reimbursable Allowances

- **Statutory Deductions:** The Company automatically deducts Tax Deducted at Source (TDS), Employee Provident Fund (EPF), and Maharashtra Professional Tax (PT) in strict compliance with state and central legal mandates.
- **Attendance-Linked Reductions:** Any unregularized absence or Loss of Pay (LOP) flag remaining in the HRIS past the 25th of the month will result in a pro-rated deduction from that month's payout.
- **Flexible Benefits Plan (FBP):** Employees may allocate portions of their special allowance toward tax-saving buckets such as broadband/internet reimbursements (crucial for our hybrid work model) and books/journal allowances. Reimbursable claims must be supported by valid bills submitted via the HRIS portal by the 20th of the month.

Section 5: Process / Workflow

The technical execution of the monthly payroll cycle follows a highly cross-functional, time-bound progression:

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graph TD; A[HRIS automatically locks attendance and leave data on the 25th at 6:00 PM IST] --> B[Finance team reviews claims, FBP declarations, and LOP variables]; B --> C[Payroll Processing Engine computes gross earnings, tax liabilities, and net pay]; C --> D[Payslips are generated and securely staged inside the employee HRIS dashboard]; D --> E[Corporate Bank Transfer authorization executed on the last working day]; E --> F[Direct deposit completed, and automated email confirmations dispatched];
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Corporate Bank Transfer authorization executed on the last working day

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Direct deposit completed, and automated email confirmations dispatched

Section 6: Roles & Responsibilities

6.1 Employee

- **Tax Declarations:** Submit provisional income tax investment declarations via the HRIS portal by April 30 of each financial year, and provide final verified proofs of investment by January 15.

- **Data Verification:** Regularly monitor monthly payslips and report any structural bank account updates or processing errors to the payroll desk within 5 working days of disbursement.
- **Attendance Upkeep:** Ensure all timesheets and leave logs are regularized before the 25th lock window.

6.2 Reporting Manager

- **Absence Approval:** Review and clear all pending team leave requests and attendance regularizations before the 25th payroll cut-off.
- **Performance Allocation:** Input and approve project-based variable incentive matrices for eligible team members within specified review quarters.

6.3 Finance & Payroll Team

- **Statutory Compliance:** Ensure precise remittance of collected TDS, EPF, and Professional Tax to individual government portals on or before the due dates.
- **Disbursement Integrity:** Verify the accuracy of payroll inputs, handle employee compensation queries, and issue Form 16 annually on or before June 15.

Section 7: Exceptions

7.1 Off-Cycle Payout Mandates

Standard payroll disbursements occur exclusively via the last-day monthly cycle. The only permissible exceptions for an off-cycle manual salary release are:

- **Severe Systemic Errors:** Verified technical failures where an employee's salary was completely omitted due to a core HRIS database malfunction.
- **Expedited Separation Settlements:** Final dues processing for an employee whose separation agreement mandates an immediate layout outside the standard 30-day exit clearing cycle.

Section 8: Examples

- **Scenario A (Mid-Month Onboarding Adjustment):** An AI research engineer joins AstraNova on the 16th of October. During the October payroll cycle closing on the 31st, the payroll engine identifies the late onboarding date. The engine computes a pro-rated basic and special allowance calculation for exactly 16 calendar days instead of a full month. The

subsequent November payout automatically stabilizes to the standard full-month gross allocation.

- **Scenario C (Unregularized Attendance Deduction):** A software engineer takes 2 days of unplanned absence during a sprint but forgets to submit a regularization request or a Sick Leave form in the HRIS portal by the 25th of the month. The payroll engine automatically marks the 2 days as unauthorized Loss of Pay (LOP), reducing the monthly net payout proportionally. The employee must apply for retroactive regularization next month to secure a credit adjustment in the following cycle.

Section 9: Important Notes

- **Avoid:** Do not delay the submission of investment tax proofs until the final week of March. Failure to upload mandatory investment documents to the HRIS by the January 15 internal deadline will cause the system to automatically recalculate tax brackets, resulting in high TDS deductions in February and March.
- **Best Practice:** Download and review your digital payslips monthly from the HRIS dashboard. Keep a record of these secure PDFs for personal tax tracking, loan verifications, and external financial audits.

Section 10: Frequently Asked Questions (FAQ)

Q1: On what day of the month is my salary credited at AstraNova?

A1: Monthly salaries are credited directly to designated corporate salary bank accounts on the last working day of each calendar month.

Q2: What is the monthly payroll attendance cut-off date?

A2: The payroll cut-off date is the 25th of every calendar month. All attendance data, regularization logs, and leaves must be fully updated and approved by this date to be factored into the current month's payout.

Q3: How do I access my monthly digital payslip?

A3: Monthly payslips are securely uploaded directly to your personal dashboard within the internal HRIS portal on the day of salary disbursement, where they can be viewed or downloaded as secure PDFs.

Q4: Can I alter my Flexible Benefits Plan (FBP) allocations at any point in the year?

A4: No. FBP component allocations can only be selected once a year, during April (or during your initial month of onboarding for new hires). Modifications are locked for the remainder of that financial year.

Q5: What happens if I miss the deadline for submitting my final tax investment proofs?

A5: If final investment proofs are not uploaded to the HRIS portal by the January 15 deadline, the system will calculate your income tax liability based solely on your available structural components, which may result in a higher TDS deduction.

Q6: Does AstraNova reimburse home internet expenses for hybrid workers?

A6: Yes. Under the Flexible Benefits Plan, employees can claim tax-free reimbursements for broadband internet expenses up to the specified grade limits by submitting monthly bills by the 20th day of the month.

Q7: How is the Provident Fund (PF) contribution calculated?

A7: The standard statutory contribution is set at 12% of your Basic Salary component. This amount is deducted from your monthly gross salary, and the Company provides an equal matching contribution of 12% directly into your EPF account.

Q8: What is the timeline for receiving my annual Form 16?

A8: In strict accordance with the Income Tax Act mandates, the corporate finance desk releases digital Form 16 certificates to all eligible employees on or before June 15 of every assessment year.

Q9: Who should I contact if I notice an error or discrepancy in my monthly payout?

A9: Any salary or deduction discrepancies should be formally reported by opening a support ticket in the HRIS portal or emailing payroll@astranova.com within 5 working days of salary receipt.

Q10: Are my accumulated performance bonuses paid out if I am on Loss of Pay (LOP) leave?

A10: Performance bonuses are mapped directly to active deliverable metrics. While basic structural components are deducted during LOP periods, variable bonuses are evaluated strictly based on target completions achieved during active quarters.